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Case Number: 25STCV25890 Hearing Date: August 19, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department

508

AE REE CHO,

Plaintiff,

vs.

MOON GUN YOO, aka MOON

OBRIEN, et al.,

Defendants.

Case No.:

25STCV25890

Hearing Date:

August 19, 2026

Hearing Time: 2:00 p.m.

[TENTATIVE] ORDER RE:

DEFENDANT HANMI BANK'S DEMURRER TO THE
FIRST AMENDED COMPLAINT;

DEFENDANTS MOON
GUN YOO AND DONG JA YOO'S DEMURRER TO THE FIRST AMENDED COMPLAINT

Background

On September 4, 2025,
Plaintiff Ae Ree Cho ("Plaintiff") filed this action against Defendants Moon
Gun Yoo, aka Moon Obrien ("Moon"), Dong Ja Yoo ("Dong"), and Hanmi Bank ("Hanmi"),
alleging six causes of action for (1) fraudulent misrepresentation and
concealment, (2) identity theft under Cal. Civil Code
1798.92 et seq., (3) civil conspiracy, (4) negligence, (5) declaratory
relief, and (6) intentional infliction of emotional distress.

Hanmi filed a demurrer to
Plaintiff's complaint, which the Court sustained on March 4, 2026.
Specifically, the Court sustained the first, third, fifth, and sixth causes of
action with leave to amend, and the second and fourth causes of action without
leave to amend.

On March 23, 2026,
Plaintiff filed the operative first amended complaint ("FAC"), alleging five
causes of action for (1) fraudulent misrepresentation and concealment, (2) identity
theft (Cal. Civil Code 1798.92 et seq.),^[1] (3) civil conspiracy (adding and
abetting), (4) declaratory relief, and (5) intentional infliction of emotional
distress.

Hanmi now demurs to Plaintiff's
FAC in its entirety. Plaintiff opposes. Hanmi replied.

Moon and Dong (jointly,
the "Yoo Defendants") also demur to Plaintiff's FAC in its entirety. Plaintiff
opposes. The Yoo Defendants replied.

Evidentiary
Objections

The Court rules on

Hanmi's evidentiary objections as follows:

Objection Nos. 1-6:

sustained

Legal

Standard

A demurrer for

sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda, (2007) 147 Cal.App.4th 740, 747.)

In testing the sufficiency of the complaint, the court assumes the truth of

properly pleaded factual allegations, facts reasonably inferred from those

expressly pleaded, and judicially noticed matters. ((Blank

v. Kirwan (1985) 39 Cal.3d 311, 318.) "A demurrer tests the pleadings

alone and not the evidence or other extrinsic matters. Therefore, it lies only

where the defects appear on the face of the pleading or are judicially

noticed." (SKF Farms v. Superior Court, (1984)

153 Cal.App.3d 902, 905.) Accordingly, "[w]hether the plaintiff will

be able to prove the pleaded facts is irrelevant to ruling upon the

demurrer." (Stevens v. Superior Court

(1986) 180 Cal.App.3d 605, 609-10.)

Under Code of Civil Procedure section 430.10 subdivisions (e)

and (f), a demurrer may be filed if the pleading is uncertain or does not

state facts sufficient to constitute a cause of action. For purposes of ruling

on a demurrer, all facts pleaded in a complaint are assumed to be true, but the

reviewing court does not assume the truth of conclusions of law. ((Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th

962, 967.)

Leave to amend must be

allowed where there is a reasonable possibility of successful amendment,

otherwise, it is abuse of discretion. ((Goodman v.

Kennedy (1976) 18 Cal.3d 335, 349.)

Discussion

Hanmi

and the Yoo Defendants both demur to Plaintiff's FAC for failure to allege

facts sufficient to state a cause of action and for being barred by the statute of limitations. Hanmi also demurs based on Plaintiff's lack of standing.

A. Allegations of the FAC

Plaintiff

alleges that she is a "housewife whose identity was used as a sole officer, director, and agent of Luke Apparel, Inc.," which is operated and managed by her "Parents-in-law, MOON & DONG." (FAC, ¶ 6.) Plaintiff alleges that she was "unexpectedly informed by EDD and the IRS that she must pay a penalty for being criminally charged." (Ibid.) Plaintiff alleges she "has never been involved in any clothing and apparel manufacturing business, nor has she had any experience in business operations, accounting, or tax compliance." (FAC, ¶ 8.)

Plaintiff

alleges that in October 2019, her in-laws "requested Plaintiff to allow her name and identity to be used to form a corporation, Luke Apparel, Inc.," because Moon and Dong's "business license was revoked." (FAC, ¶ 9, Ex. A.) Plaintiff further alleges that "MOON and DONG represented that Plaintiff would not be responsible for business operations or liabilities." (FAC, ¶ 10.) "Relying on these representations, Plaintiff provided personal identifying information, including Social Security number and driver's license." (FAC, ¶ 11.) "Luke Apparel, Inc. was formed with Plaintiff as nominal officer, director, and agent," and "[a]t MOON and DONG's direction, Plaintiff opened two business accounts at HANMI BANK (Account Nos. ending 855 and 863)." (FAC, ¶¶ 12-13.)

Plaintiff

alleges she relied entirely on Moon and Dong and "[d]uring account opening, MOON and DONG acted as the true operators, speaking and acting on Plaintiff's behalf." (FAC, ¶¶ 14-15, Ex. B.) Further, "HANMI BANK employees (DOES 1 to 5) observed that: a) Plaintiff lacked knowledge of business operations; b) MOON and DONG exercised control; and c) Plaintiff was merely a nominal account holder." (FAC, ¶ 16.) "Despite this knowledge, HANMI BANK: a) Allowed MOON and DONG to operate the accounts; b) Permitted transactions without proper authorization; and c) Failed to investigate irregular account activity." (FAC, ¶ 17.) Plaintiff alleges that "HANMI BANK knowingly disregarded standard banking protocols, including customer due diligence and identity verification requirements." (FAC, ¶ 18.) "The two accounts were used interchangeably to

manipulate financial reporting, including: a) Payroll reporting (EDD); b) Tax filings (IRS); and c) Sales tax obligations.” (FAC, ¶ 19.) Plaintiff alleges that she “never signed checks nor controlled the accounts,” but “[a]s a result, Plaintiff has been assessed approximately \$250,000 in penalties and exposed to potential criminal liability.” (FAC, ¶¶ 20-21.)

B.

Statute of Limitations

Hanmi

and the Yoo Defendants both demur to the FAC as barred by the statute of limitations.

Pursuant to Code of Civil Procedure section 338, subdivision (d), there is a three-year statute of limitations for “an action for relief on the ground of fraud or mistake.” “The cause of action in that case is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.” (Ibid.)

“The discovery-related facts should be pleaded in detail to allow the court to determine whether the fraud should have been discovered sooner.” (Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1472; see also CAMSI

IV v. Hunter Technology Corp. (1991) 230 Cal.App.3d 1525, 1536-1537 [“A plaintiff whose complaint shows on its face that his or her claim would be barred by the applicable orthodox statute of limitations, and who intends to rely on the discovery rule to toll the orthodox limitation period, ‘must specifically plead facts which show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence. [Citations.] Mere conclusory assertions that delay in discovery was reasonable are insufficient and will not enable the complaint to withstand general demurrer. [Citation.]’”].) Moreover, “the Supreme Court repeatedly has explained that it is the knowledge of facts rather than discovery of legal theory, that is the test. The test is whether the plaintiff has information of circumstances sufficient to put a reasonable person on inquiry, or has the opportunity to obtain knowledge from sources open to his or her investigation.” ((McGee v. Weinberg (1979) 97 Cal.App.3d 798, 803.)

Declaratory relief and civil conspiracy cannot exist

independently, because they are based on an underlying cause of action. “There existing no cause of action for conspiracy in and of itself, the statute of limitations is determined by the nature of the action in which the conspiracy

is alleged.” ((Agnew v. Parks (1959) 172 Cal.App.2d 756, 765.) “A claim for declaratory relief is subject to the same statute of limitations as the legal or equitable claim on which it is based.” ((Bank of New York Mellon v. Citibank, N.A. (2017) 8 Cal.App.5th 935, 943.) In this case, the underlying cause of action is fraud, so the statute of limitations is also three years.

A cause of action for identity theft must “be brought within four years of the date the person who alleges that he or she is a victim of identity theft knew or, in the exercise of reasonable diligence, should have known of the existence of facts which would give rise to the bringing of the action or joinder of the defendant.” (Code Civ. Proc., § 1798.96.)

A cause of action for intentional infliction of emotional distress must be brought “[w]ithin two years.” (Code Civ. Proc., § 335.1)

i.

Hanmi

Hanmi demurs to all causes of action as barred by the statute of limitations, asserting that “Plaintiff was clearly aware of alleged suspicious account activity since at least March of 2020, as allegedly reflected in statements issued by Hanmi starting at that time. See FAC ¶ 9, Ex. B. Plaintiff is the CEO, Secretary, CFO, Director, and agent for service of process for Luke Apparel. Id. Ex. A. All of the statements attached to Plaintiff’s FAC were mailed to Luke Apparel, and Plaintiff does not allege that she did not receive the statements or did not have access to the statements that were sent beginning in March of 2020. Assuming, arguendo, that Plaintiff did not have actual knowledge of the statements, she is chargeable with constructive knowledge.” (Hanmi Dem., 16:7-13.)

Plaintiff’s only discussion of the statute of limitations in her opposition to Hanmi’s demurrer is that “[t]his action was filed within eighteen months of Plaintiff’s discovery, in approximately March 2024, that anything was wrong — well within every applicable limitations period. And the FAC, read in light of this Court’s March 4, 2026 guidance and the additional facts set forth in the concurrently

filed Cho Declaration, states each of the four causes of action Hanmi challenges.” (Opp., 2:26-3:4.)

As alleged in

Plaintiff’s FAC, she opened the account at issue in October 2019. (FAC, ¶¶ 9, 13.) The bank statements attached to the FAC demonstrate that Hanmi mailed Luke Apparel Inc. statements with information about deposits and changes in the bank account beginning in March 2020. (FAC, Ex. B.) Plaintiff’s FAC alleges she is the “sole” and “nominal officer, director, and agent” of Luke Apparel Inc. (FAC, ¶¶ 6, 12.) Plaintiff filed the complaint in this action in September 2025. Additionally, Plaintiff’s FAC does not allege facts about when she discovered the alleged fraud. From the face of the pleadings, it appears that the fraud should have, or could have, been discovered more than five years from when the initial complaint was filed. Accordingly, Plaintiff’s fraud causes of action, or causes of action based on fraud, are barred by the statute of limitations.

Moreover, Plaintiff’s cause of action for intentional infliction of emotional distress (“IIED”) is similarly barred because the IIED cause of action is predicated on Hanmi “knowingly allowing the misuse of Plaintiff’s identity.” (FAC, ¶ 70.) Thus, the events giving rise to the IIED cause of action are the same as the cause of action for fraud, and Plaintiff is barred by the statute of limitations.

Although Plaintiff asserts that her declaration in support alleges additional facts, the declaration is improper extrinsic evidence. The Court may look only at the face of the pleading and any judicially noticed matters. (See *Childs v. State of California* (1983) 144 Cal.App.3d 155, 159 [“courts must look exclusively to facts alleged in the complaint, ignoring contrary allegations,” and “a complaint may be read as if it included matters judicially noticed.”].) Thus, without allegations in the pleadings invoking the delayed discovery rule, Plaintiff’s FAC is barred by the statute of limitations. Accordingly, the Court sustains Hanmi’s demurrer in its entirety, without leave to amend.

ii.

The Yoo Defendants

The

Yoo Defendants also demur to the FAC’s first, second, and fifth causes of

action as barred by the statute of limitations.

Regarding fraud, the Yoo

Defendants assert that “[o]n the face of the FAC, the alleged operative conduct occurred between 2019-2020 (the incorporation of Luke Apparel and opening/usage of the business accounts), while this action was initially filed in 2025, more than three years later. Plaintiff pleads no particularized facts stating when she discovered the facts constituting the alleged fraud, how she discovered them, or why reasonable diligence would not have revealed them earlier. In any event, the facts pleaded place Plaintiff on inquiry notice years earlier. As the named president/officer who formed the corporation and opened the accounts, Plaintiff would in the ordinary course have received, or had access to, bank statements and EDD/FTB/IRS filings and notices. Such routine documents trigger a duty to investigate and commence the statute when a reasonable person would suspect wrongdoing.” (Yoo Dem., 6:27-7:8.)

For identity theft, the

Yoo Defendants assert that “Plaintiff anchors the alleged conduct to the formation of Luke Apparel and opening/usage of business bank accounts years ago, yet pleads no particularized facts stating when she discovered the alleged ‘identity theft,’ how she discovered it, or why reasonable diligence would not have revealed it sooner. Without such allegations, the identity theft claim is untimely on its face under section 1798.96 and fails as a matter of law.” (Yoo Dem., 8:10-14.)

As for the IIED cause of

action, the Yoo Defendants assert that “[t]he FAC anchors the operative conduct in 2019-2020 (formation of Luke Apparel and opening/usage of the bank accounts) while this action was filed in 2025, well beyond two years. On its face, the IIED claim is time-barred under section 335.1, and the FAC does not allege any facts to invoke the discovery rule.” (Yoo Dem., 13:6-9.)

In Plaintiff’s

opposition to the Yoo Defendants, she asserts that “[a]s set forth in the Cho Declaration, Plaintiff did not discover that anything was wrong until she received EDD correspondence in approximately March 2024. (Cho Decl. ¶ 9.) This action was filed September 4, 2025 — roughly eighteen months later. Eighteen months is comfortably within the two-year period for IIED (Code Civ. Proc., § 335.1), the three-year period for fraud (Code Civ. Proc., § 338), and the four-year

period for identity theft (Civ. Code, § 1798.96).

None of the causes of action the Yoo Defendants challenge on limitations grounds is time-barred once the correct accrual date is applied. Nor could Plaintiff reasonably have discovered the scheme earlier. She was never issued business checks, a debit card, or online banking credentials for either Hanmi account, so she had no practical means to monitor the accounts even as the nominal officer whose name appeared on the corporate filings. (Cho Decl. ¶¶ 7-8.) She has limited English proficiency and no background in U.S. corporate, payroll, or tax administration, and she reposed the trust in her parents-in-law that Civil Code section 1575 recognizes arises between family members in a position of relative authority. Receipt of periodic bank statements mailed to a corporate address does not, standing alone, place a nominal officer with no account access on inquiry notice of a concealed multi-year tax-manipulation scheme being run by the people she trusted to run the business." (Opp., 6:6-27.)

As discussed in the previous section, Plaintiff does not allege facts to invoke the delayed discovery rule, and her initial complaint was filed more than five years after the alleged events occurred. Similar to Hanmi's demurrer, the Yoo Defendants' demurrer to the first cause of action for fraudulent misrepresentation and the fifth cause of action for IIED are sustained, without leave to amend.

As for the Yoo Defendants' demurrer to Plaintiff's second cause of action for identity theft, the statute of limitations is four years. However, as noted above, Plaintiff's FAC demonstrates that she was on constructive notice of the events giving rise to her causes of action in 2020. Accordingly, Plaintiff's second cause of action for identity theft is likewise barred by the statute of limitations. Thus, the Court sustains the Yoo Defendants' demurrer to Plaintiff's second cause of action, without leave to amend.

C.

Hanmi's Demurrer for Standing

Hanmi also demurs to Plaintiff's FAC for Plaintiff's lack of standing. Hanmi asserts that "[i]n addition to the fact that Plaintiff's claims are barred by applicable statutes of limitations, Plaintiff does not have standing to sue Hanmi for alleged failures to monitor the account belonging to Luke Apparel because Plaintiff is not the account holder, Luke Apparel is." (Hanmi

Dem., 16:22-24.)

Code of Civil

Procedure section 367 requires that “[e]very action must be prosecuted in the name of the real party in interest, except as otherwise provided by statute.” “[A]n agent for a party to a contract not made with or in the name of the agent is not a real party in interest with standing to sue on the contract.” ((Powers v. Ashton (1975) 45 Cal.App.3d 783, 789.)

Hanmi contends that “[t]he essence of Plaintiff’s FAC is that Hanmi allegedly ‘[p]ermitted transactions without proper authorization [and] [f]ailed to investigate irregular account activity.’ FAC ¶ 17. However, as provided in the FAC and the exhibits attached thereto, ‘Luke Apparel, Inc.’ is the account holder at Hanmi, not Plaintiff. Id. ¶ 13, Ex. B. Therefore, Hanmi owes no duties to Plaintiff, and Plaintiff does not have standing to assert claims predicated on alleged lack of supervision of account activity against Hanmi, since only the account holder, in this case Luke Apparel, can bring such claims.” (Hanmi Dem., 17:7-13.) Moreover, Hanmi asserts that “Plaintiff may be considered an agent of Luke Apparel due to her role as an officer of the company. See FAC, Ex. A. However, an agent, in this case Plaintiff, does not have standing to sue for alleged violations of duties owed to the principal, in this case Luke Apparel.” (Hanmi Dem., 17:20-22.)

Plaintiff asserts that she has standing to sue because “[t]he right Plaintiff sues upon here is her own right to be free from having her personal identifying information — her Social Security number, driver’s license, name, and signature — knowingly used by Hanmi to facilitate a scheme that exposed her personally to a \$250,000 penalty assessment and potential criminal liability. (FAC ¶¶ 12-21, 26-33.) That right belongs to Plaintiff regardless of whose name is on the Luke Apparel account. Indeed, it was Plaintiff — not Luke Apparel — who personally appeared at Hanmi, personally provided her own Social Security number and driver’s license, and personally lent her name and signature to open the accounts.” (Opp., 5:27-6:10.)

In response, Hanmi asserts that “Plaintiff admits she is not a customer or depositor of Hanmi, but rather that non-party corporation Luke Apparel, Inc. is the only holder of an account with Hanmi. See

Opposition at p. 6. Plaintiff's standing argument is based on the claim that Hanmi allegedly 'used' Plaintiff's 'Social Security number, driver's license, name, and signature' to 'facilitate a scheme'. Id.

However, Plaintiff does not allege identity theft against Hanmi, only against the other Defendants (her in-laws). So Plaintiff's standing argument is based on claims she does not even allege against Hanmi. See FAC at ¶¶ 36 – 50. Any viable cause of action for Hanmi's alleged failure to monitor the Luke Apparel account and/or investigate alleged irregular activity would lie with Luke Apparel (the account holder and entity in a contractual relationship with Hanmi) and not Plaintiff. Luke Apparel is not a party to this case and has not brought claims against Hanmi in this action. Plaintiff cannot assert claims on behalf of Luke Apparel." (Hanmi Reply, 3:14-25.)

Although Plaintiff opened the bank account with Hanmi, she opened the account on behalf of Luke Apparel Inc., as evidenced by the complaint and attached exhibit. Plaintiff does not direct the Court to any law demonstrating that she is the real party in interest and can assert her causes of action against Hanmi. Rather, Hanmi directs the Court to various authorities that for a cause of action founded in contract, the real party in interest must be the entity or individual named in the contract, not an individual acting as an agent on behalf of the real party in interest. Because here, the real party in interest is Luke Apparel Inc., Plaintiff does not allege viable causes of action against Hanmi. Accordingly, the demurrer is also sustained without leave to amend for lack of standing.

D.

The

Yoo Defendants' Demurrer to the Third and Fourth Causes of Action for Civil Conspiracy and Declaratory Relief

The Yoo Defendants also

demur to Plaintiff's third and fourth causes of action, asserting that "[c]ivil conspiracy is derivative and cannot stand without a viable underlying tort and, in any event, lacks facts showing an agreement, object, or acts in furtherance. Declaratory relief identifies no present, justiciable controversy and is wholly duplicative." (Yoo Dem., 1:14-17.)

"A civil conspiracy

however atrocious, does not per se give rise to a cause of action unless a civil wrong has been committed resulting in damage." (Unruh

v. Truck Insurance Exchange (1972) 7 Cal.3d 616, 631, superseded by statute on other grounds, as stated in Hendy v. Losse (1991) 54 Cal.3d 723, 732 [Unruh was decided "prior to legislative restriction of the dual capacity doctrine by amendment of section 3602"].) "As Witkin puts it: 'The labeling of an action as 'complaint for conspiracy to defraud' or conspiracy to commit some other tort is misleading. Conspiracy (the agreement) is ordinarily not actionable by itself. The cause of action arises out of some wrongful act committed by one or more of the conspirators, and if such a wrongful act is set forth the conspiracy averment is unnecessary to the statement of a cause of action.' [Citation.]" (Ibid.)

"A complaint for declaratory relief must demonstrate: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party." ((Brownfield v. Daniel Freeman Marina Hospital (1989) 208 Cal.App.3d 405, 410.)

Moreover, "a request for declaratory relief will not create a cause of action that otherwise does not exist." ((City of Cotati v. Cashman (2002) 29 Cal.4th 69, 80.)

"Rather, 'an actual, present controversy must be pleaded specifically' and 'the facts of the respective claims concerning the [underlying] subject must be given.' [Citation.]" (Ibid.)

Given the Court's statute of limitations analysis, there are no underlying, viable causes of action that the civil conspiracy and declaratory relief causes of action could be anchored to. Thus, Plaintiff cannot state a viable cause of action for civil conspiracy or declaratory relief against the Yoo Defendants. Accordingly, the demurrer to the third and fourth causes of action are sustained, without leave to amend.

Based on the foregoing analysis, the Court declines to address the arguments Hanmi or the Yoo Defendants made regarding Plaintiff's failure to state facts sufficient to constitute a cause of action.

Conclusion

Based on the foregoing, Hanmi's demurrer as to the first, third, fourth, and fifth causes of action is

SUSTAINED, without leave to amend. The Yoo Defendants' demurrer as to the first, second, third, fourth, and fifth causes of action is SUSTAINED, without leave to amend.[2]

Hanmi and the Yoo Defendants are each ordered to file and serve a proposed judgment of dismissal within 10 days of the date of this Order.

Hanmi is ordered to give notice of this Order.

DATED: August
19, 2026

Hon. Teresa A. Beaudet

Judge, Los Angeles Superior
Court

[1] This cause of action is alleged against Moon and Dong only.

[2] Although Plaintiff requests leave to amend, Plaintiff does not indicate any proposed basis for such amendment.